

ANNOUNCEMENT OF UNAUDITED RESULTS FOR SIX MONTHS ENDED 31 DECEMBER 2011

The directors of the East African Portland Cement Company Limited are pleased to announce the unaudited consolidated results for the six months period ended 31st December 2011.

Consolidated Statement of Comprehensive Income for the half year ended 31 December 2011

	2011 Dec Sh' 000	2010 Dec Sh' 000
Revenue	4,952,435	5,243,458
Cost of sales	(4,009,495)	(4,095,449)
Gross profit	942,940	1,148,009
Other Operating Income	5,433	75,712
Administration and selling expenses	(1,107,279)	(730,721)
Profit from operations	(158,906)	493,001
Finance income	10,195	6,271
Finance costs	(26,695)	(244,318)
Profit (loss) before tax	(175,406)	254,954
Taxation credit	87,266	537,841
Total comprehensive income	(88,140)	792,795
Earnings Per Share	(0.98)	6.81

Consolidated Statement of Cash flow for the half year ended 31 December 2011

	2011 Dec Sh' 000	2010 Dec Sh' 000
Cashflow generated from operations	(693,711)	(122,224)
Interest paid	(99,647)	(47,914)
Interest received	10,195	6,272
Taxation paid	(1,656)	(1,332)
Cash generated from operating activities	(785,019)	(165,198)
Net cashflow used in investing activities	(95,474)	(46,954)
Lease Obligations Payment	(28,173)	-
Loan repayment	(223,620)	(175,052)
Net cashflow used in financing activities	(251,792)	(175,052)
Net increase in cash and cash equivalents	(1,132,285)	(787,204)
Cash and cash equivalents as at 1st July	562,679	951,779
Cash and cash equivalents as at 31st December	(569,606)	164,575

Consolidated Statement of Financial Position as at 31 December

	2011 Dec Sh' 000	2011 Jun Sh' 000
Assets		
<i>Non-current assets</i>		
Property, plant & equipment, Intangibles	7,704,792	7,888,290
Capital Work in Progress		
Hedging Instrument	1,703,122	916,925
Restricted deposits	59,204	58,586
Total non-current assets	10,962,118	10,358,801
<i>Current assets</i>		
Inventories	1,947,713	1,551,254
Trade and other receivables	1,020,662	1,056,442
Cash and cash equivalents	53,723	564,374
Total current assets	3,022,097	3,172,070
Total assets	13,984,215	13,530,871
Equity and Liabilities		
<i>Capital and reserves</i>		
Share capital	450,000	450,000
Share premium	648,000	648,000
Asset revaluation reserve	1,240,771	1,240,771
Retained earnings	3,790,545	3,923,685
Total equity	6,129,316	6,262,456
<i>Non current liabilities</i>		
Staff gratuity	548,863	517,528
Deferred tax liability	312,060	312,060
Long Term Loans	3,022,468	3,279,403
Loan Swap Liability	1,687,674	929,580
Obligations under Lease	101,493	129,665
<i>Current liabilities</i>		
Short Term Loans	395,787	407,522
Obligation under finance lease	61,462	61,462
Bank Overdraft	623,331	1,695
Trade & Other Payables	1,101,761	1,629,500
Total liabilities	7,854,899	7,268,415
Total equity and liabilities	13,984,215	13,530,871

PERFORMANCE

Due to the increased competition and the reduction in sales volumes by 8% in the first half of the year compared to a similar period last year, sales revenue declined by 6%. The unexpected major plant breakdown in November 2011 and the disruptive events of December 2011 led to the reduced growth momentum experienced in the period under review.

Gross margins were depressed due to the increased production costs, mainly contributed by the rising cost of electricity, packaging materials and the unfavourable movements in the foreign currency exchange rates. The cost savings from the new coal firing facility were offset by the increase in the foregoing costs. Logistics costs increased in the period and financing costs in the first half reduced on account of the strengthening of the Kenya Shilling and the hedging of the Yen denominated loan. Loss before tax was Sh 175 million. A tax credit in the period was Sh 87 million, bringing the total comprehensive loss to Sh 88 million.

FUTURE OUTLOOK

Although the demand for cement in the Country and in the export market remains strong, competition is expected to intensify with the entry of a new player in the Kenyan market. Production was briefly interrupted in January 2012 but normal operations have now resumed. The Board of directors expect that the Company's earnings for the year will be at least 25% less than the level of earnings achieved in the previous year.

Despite these challenges, the Company is currently implementing a recovery strategy and engaging the stakeholders with a view to achieving long-term growth and stability.

DIVIDEND

The directors do not recommend payment of an interim dividend.

BY ORDER OF THE BOARD

JLG MAONGA
COMPANY SECRETARY

29 February 2012

East African Portland Cement Company Ltd.
Unaudited Consolidated Statement of Comprehensive Income
for Six months ended 31st December 2011

	Dec-11 Shs.' 000	Dec-10 Shs.' 000
Sales Revenue	4,952,435	5,243,458
Cost of Sales	(4,009,495)	(4,095,449)
Gross Profit	942,940	1,148,009
Other Operating Income	5,433	75,712
	948,374	1,223,722
Selling Costs	(478,717)	(178,010)
Administrative Expenses	(554,872)	(455,971)
Other Operating Expenses	(73,690)	(96,739)
Operating Loss	(158,906)	493,001
Finance Income	10,195	6,271
Finance Costs	(26,695)	(244,318)
Loss Before Taxation	(175,406)	254,954
Taxation Charge	87,266	537,841
Net Profit/(Loss) for the year	(88,140)	792,795
Earnings Per Share	(0.98)	8.81

East African Portland Cement Co. Ltd.
Unaudited Consolidated Statement of Financial Position
as at 31st December 2011

	Dec-11 Shs.'000	Jun-11 Shs.'000
Assets		
Non Current Assets		
Property, Plant & Equipment	7,476,603	7,657,923
Work in Progress	215,583	217,453
Intangible Assets (Computer Software)	925	1,233
Prepaid Operating Lease rentals	11,681	11,681
Investment	1,495,001	1,495,000
Hedging Instrument	1,703,122	916,925
Restricted Deposits	59,204	58,586
	10,962,118	10,358,801
Current Assets		
Inventories	1,947,713	1,551,254
Trade and Other Receivables	839,801	964,503
Amount due to related party	5,703	5,703
Tax Recoverable	175,158	86,236
Short term Deposit	29,114	348,143
Bank & Cash Balances	24,609	216,231
	3,022,097	3,172,070
Total Assets	13,984,215	13,530,871
Equity and Liabilities		
Capital & Reserves		
Share Capital	450,000	450,000
Share Premium	648,000	648,000
Revaluation Reserve	1,240,771	1,240,771
Revenue Reserve	3,790,545	3,923,685
	6,129,316	6,262,456
Non Current Liabilities		
Staff Gratuity	548,863	517,528
Deferred Tax Liability	312,060	312,060
Long Term Loans	3,022,468	3,279,403
Loan Swap Liability	1,687,674	929,580
Obligations under Lease	101,493	129,665
	5,672,558	5,168,236
Current Liabilities		
Short Term Loans	395,787	407,522
Obligation under finance lease	61,462	61,462
Bank Overdraft	623,331	1,695
Trade & Other Payables	1,101,761	1,629,500
	2,182,342	2,100,179
Total Liabilities	7,854,899	7,268,415
Total Equity & Liabilities	13,984,215	13,530,871

East African Portland Cement Co. Ltd.

Unaudited Group Cash Flow Statement - 31st December 2011

	Dec-11	Dec-10
	Shs'000	Shs'000
Operating Activities		
Cash generated from operations	(693,711)	(122,224)
Interest Paid	(99,847)	(47,914)
Interest Received	10,195	6,272
Taxation paid	(1,656)	(1,332)
Net Cash from Operating Activities	(785,019)	(165,198)
Investing Activities		
Purchase of Fixed Assets	(73,824)	(450,525)
Capital work in Progress	(21,650)	-
Proceeds from sale of property, plant Equipment	-	3,570
Net Cash used in Investing Activities	(95,474)	(446,954)
Financing Activities		
Repayment of Lease Obligation	(28,172)	-
Loan repayment	(223,620)	(175,052)
Net Cash used in Financing Activities	(251,792)	(175,052)
Increase/(Decrease) in Cash and Cash Equivalents	(1,132,285)	(787,204)
Cash and Cash Equivalents at 1 July	562,679	951,779
Cash and Cash Equivalent December 2011	(569,606)	164,575

East African Portland Cement Co. Ltd.

Unaudited Statement of Changes in Equity as at 31st December 2011

	Share Capital Kshs '000'	Share Premium Kshs '000'	Asset Revaluation Reserve Kshs '000'	Retained Earnings Kshs '000'	Proposed Dividends Kshs '000'	Total Kshs '000'
Balance as at 1st July 2010	450,000	648,000	1,261,760	3,341,441	-	5,701,201
Transfer of excess depreciation			(18,339)	18,339		-
Surplus realised on disposal of revalued assets			(1,374)	1,374		-
Impairment of Property, Plant and Equipment			(1,276)	1,276		-
Net Profit for the year				561,225		561,225
As at 30 June 2011	450,000	648,000	1,240,771	3,923,655	-	6,262,426
Balance as at 1 July 2011	450,000	648,000	1,240,771	3,923,655	-	6,262,426
Dividends declared					(45,000)	(45,000)
Net Loss for the period				(88,140)		(88,140)
As at 31st December 2011	450,000	648,000	1,240,771	3,835,515	(45,000)	6,129,286